A FAIRER RATE ORDER FOR OUR GRAND LAKES COMMUNITY

Same revenue for the District. A better deal for every conserving household.
A response to the rate proposal presented at the Board meeting of August 3, 2026 — built entirely from the District's own numbers

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THE ONE-MINUTE VERSION. The District needs $950,923 a year from service rates. I checked that number against the FY2027 budget line by line: **it is honest** — it covers water, sewer and garbage at almost exactly their cost. My disagreement is not the amount. It is the **method and the shape**. The proposal, as presented at the board meeting of August 3, 2026, takes the District's financial need and works backwards to rates that would produce it. Whoever made that choice, and however it was made, the method on the page is gap-filling, not rate-making. Any manager knows the first rule: **you cannot manage what you do not measure.** Measure the cost of each service first — I do it in this brief, from the District's own budget — and the fair rate structure almost writes itself. Instead, the presented scenarios hand the biggest percentage increases to the 180 families who conserve the most, sell extra water below what it costs the District to buy, and hide a third of the trash bill inside a line labeled "sewer." This brief shows, chart by chart, how to collect **the same $950,923** with costs where costs are caused and incentives pointed at conservation instead of against it.

SOURCES: EVO 10-Year Financial Operating Strategy (Aug 3, 2026 board handouts) · FY2027 Proposed Budget, Exhibits A–B · District Rate Order (12/18/2023) · District billing records 2021–2026 · PUC Docket 56589

1 | START WITH WHO IS BEING BILLED

Before choosing how to raise anyone's bill, look at who actually lives here. The presentation's own data (679 residential meters) shows a community of **modest water users**: over a quarter of homes use less than 10,000 gallons a month; the median home uses about 12,000. Only 20 homes — 3 percent — use more than 30,000 gallons.

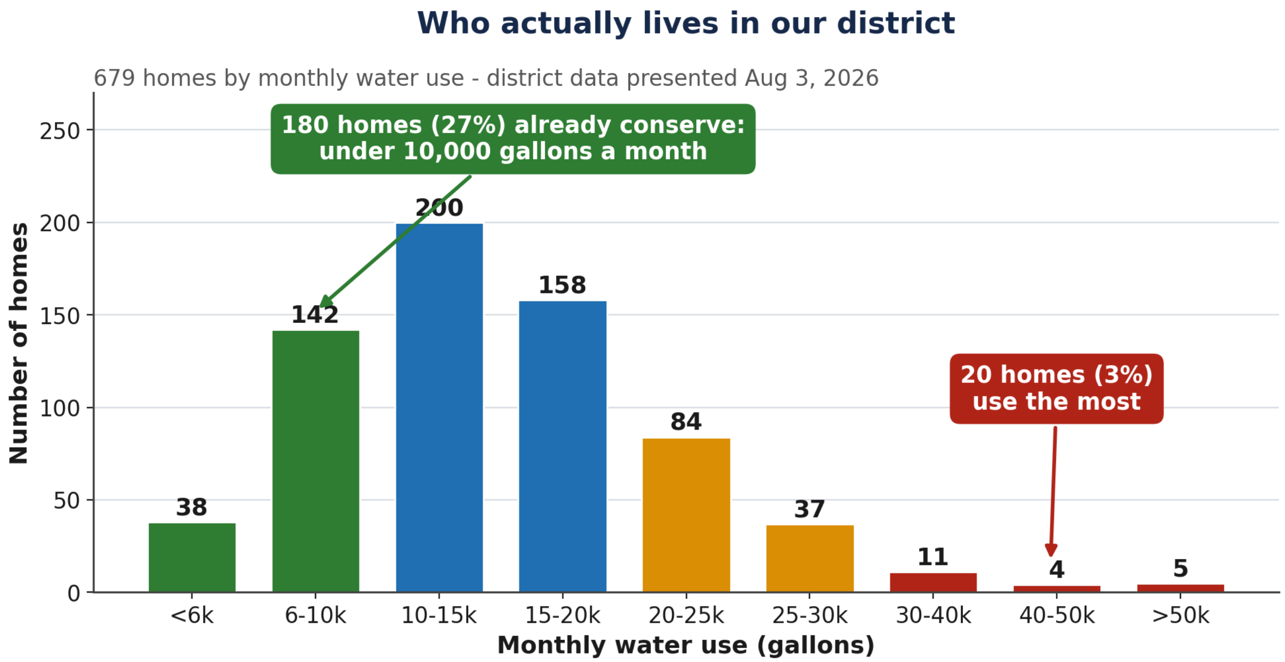

Chart 1 — District usage distribution, Aug 3 handout p.2.

679	27%	12,000	3%
residential meters in the District	of homes already conserve (<10k gal/mo)	gallons/month - the median home	of homes use more than 30,000 gal

TAKEAWAY	This is a district of modest, conserving households. A rate design that leans on flat fees necessarily leans on the green bars — the 180 homes that use the least. Every question about "fairness" is a question about which of these bars carries the load.

2 | WHAT WAS PRESENTED ON AUGUST 3, 2026

Both scenarios presented that evening raise most of their money through **fixed charges** — a $55–75 flat “sewer” fee, a higher water base, and in Scenario 2 a flat $100-per-connection “Capital Base Fee.” Fixed charges look tidy in a financial model: stable, predictable. But they have one unavoidable property: **the less water you use, the bigger your increase.**

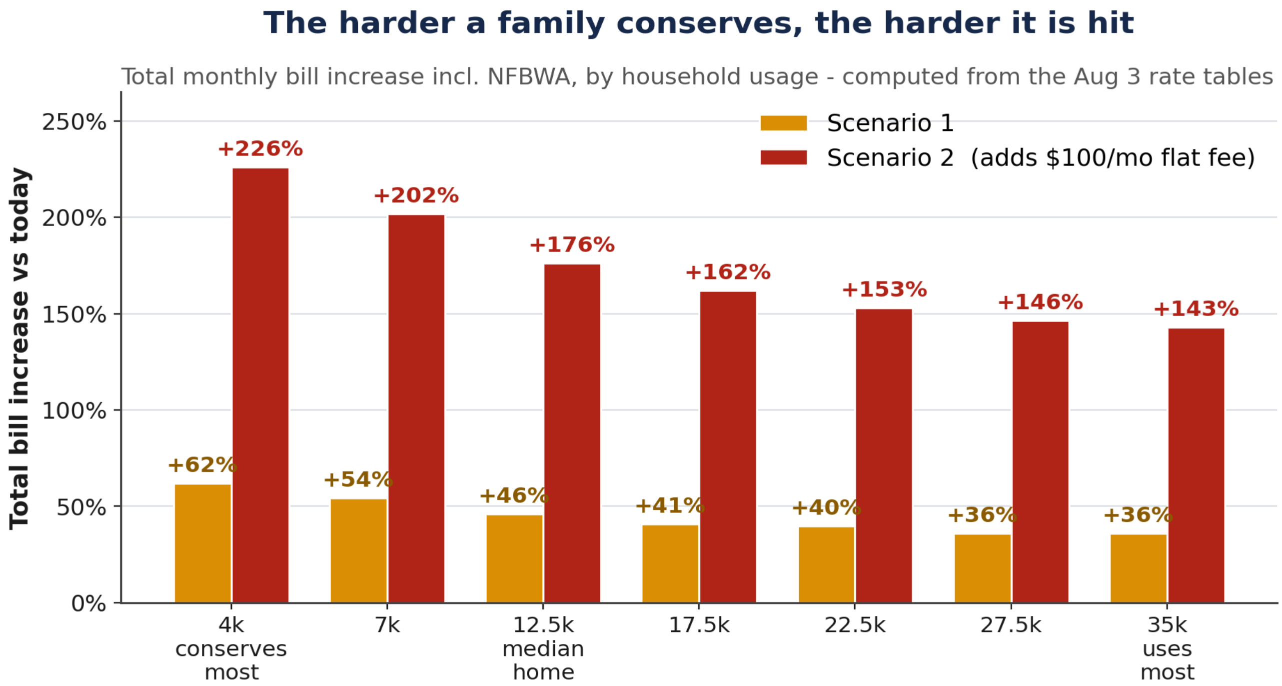

Chart 2 — Total monthly bill increase (incl. NFBWA) by household usage, computed from the Aug 3 rate tables (handout pp. 4 & 6).

+226%	+143%	$100/mo
a 4,000-gal household under Scenario 2	the heaviest users under Scenario 2	flat fee, identical for every connection

TAKEAWAY

Read the chart left to right: the harder a family conserves, the harder it is hit. That is not a side effect — it is the arithmetic signature of flat fees, landing on the exact families the District’s own bill inserts spent five years urging to "turn off the faucet while brushing your teeth."

3 | MEASURE FIRST, THEN MANAGE — THE REAL COST OF SERVICE, PROVED

The strategy presented on August 3 is a financial plan. It answers “how much money is missing?” and then adapts the rate basis until the gap closes. A cost-of-service study asks the prior question every operating manager asks before touching prices: **what does each service actually cost to deliver?** The District has never commissioned one — not before the 2024 doubling, not now. So I built the measurement myself, from the District’s own FY2027 budget:

Function	FY27 direct cost (budget lines)	Unit cost, measured
Water service	$268,177 — operations, M&R, lab, billing, GL4 purchased water, smart meters	**$2.05 / 1,000 gal** (+ $4.90 NFBWA = **$6.95 true cost**)
Sewer service	$391,196 — operations, M&R, lift station, GL4 purchased treatment, billing	**$47.38 /connection/mo** flat, or **$3.00 / 1,000 gal** flow-allocated
Garbage & recycling	$301,400 — contract expense	**$36.51 /connection/mo**
TOTAL	**$960,773**	**= 101% of the $950,923 rate target**

Reconciliation: total FY27 spend $3.74M, less taxes, sales tax, interest, NFBWA pass-through and the SPA reserve draw = $950,923 required from rates — closes against Exhibit A to within $1.

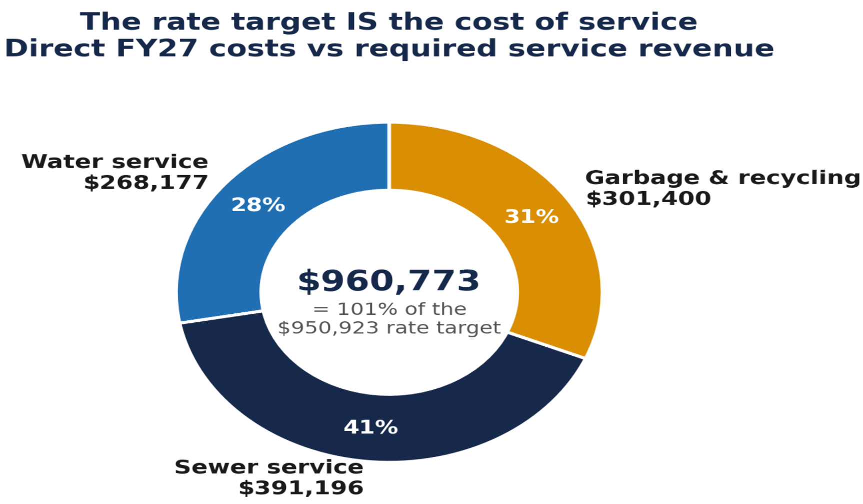

Chart 8 — Direct FY27 costs by function vs required service revenue.

TAKEAWAY	You cannot manage what you do not measure. As presented, the study measures nothing about our services — it takes the financial need and works the rates backwards until the spreadsheet balances. The result looks like arithmetic, but every allocation inside it is an unexamined policy choice.

4 | THE CONSERVATION PARADOX — WATER SOLD BELOW COST

Once you have the measurement, the first defect is visible immediately. True cost of 1,000 gallons: **$6.95** ($2.05 district + $4.90 NFBWA). Here is what Scenario 1 charges for the *next* 1,000 gallons a household chooses to use:

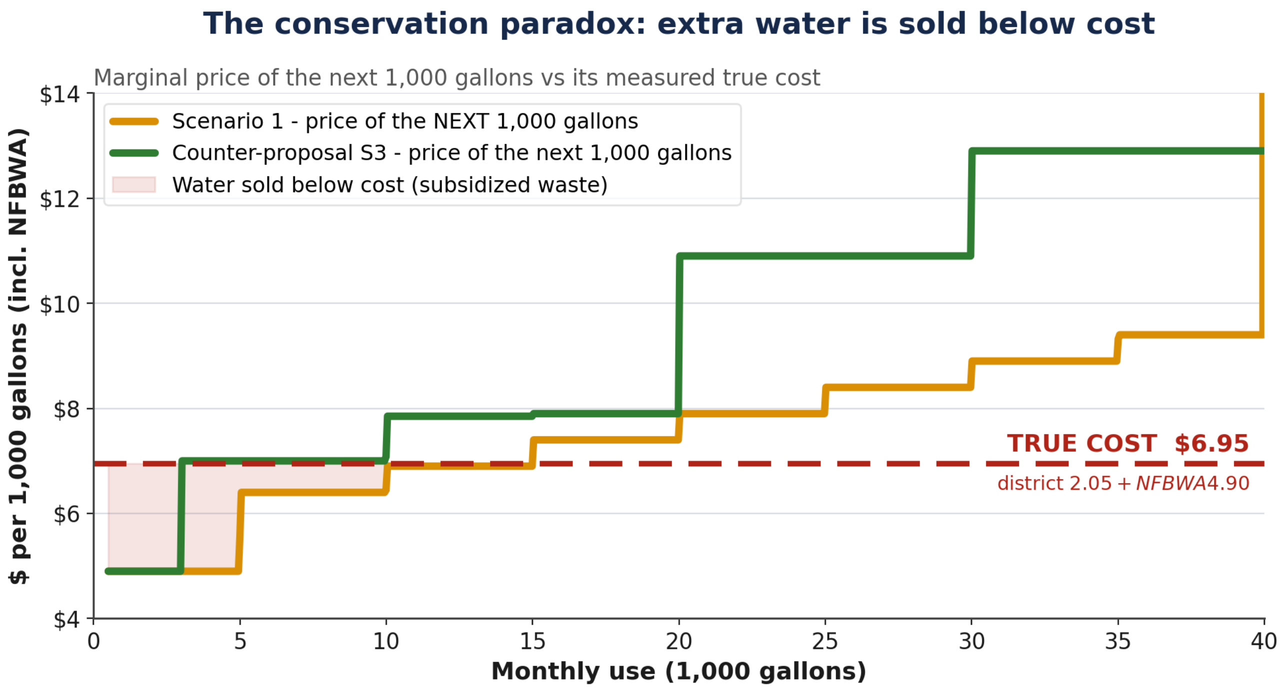

Chart 3 — Marginal price of the next 1,000 gallons vs its measured true cost.

$6.95 true cost per 1,000 gallons, measured	**$5.90-7.90** Scenario 1 marginal price where usage lives	**$10.90+** counter-proposal marginal price above 20k

TAKEAWAY	In the tiers where nearly all usage lives, extra water is priced at or below cost, with the difference recovered through flat fees charged to everyone. The family that waters its lawn every day is subsidized by the family that doesn’t. A district that mails conservation tips with every bill should never sell waste at a discount.

5 | THE TRASH BILL IN A SEWER COSTUME

Page 4 of the August 3 handouts says it plainly: the sewer increase "is designed to cover Garbage & Recycling annual expense." The measurement confirms it — garbage is $36.51 per connection per month:

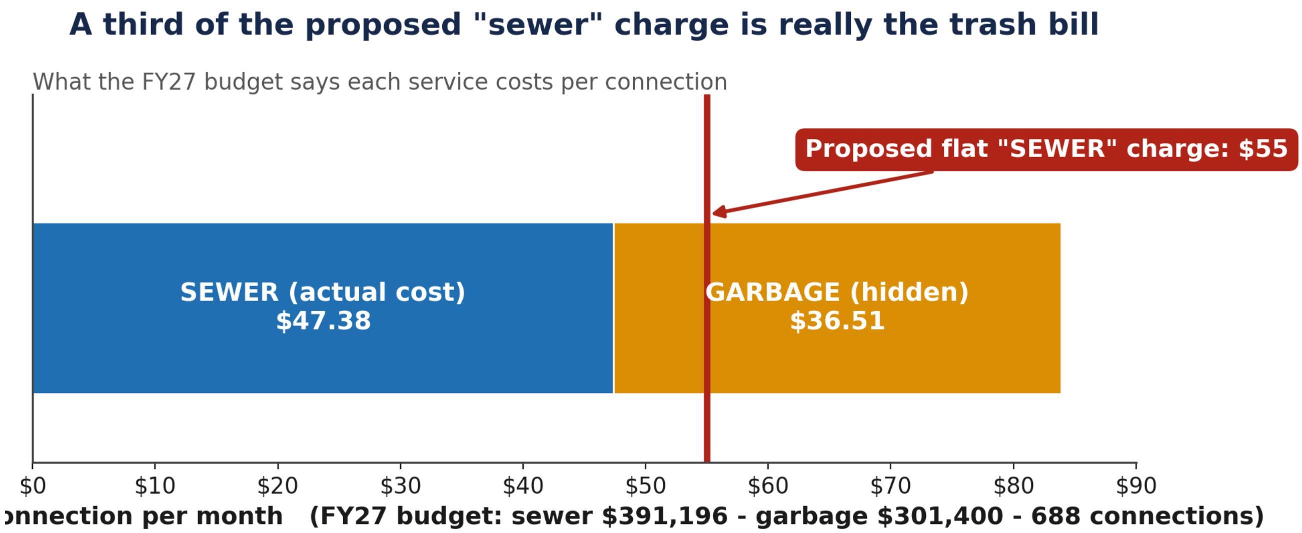

Chart 4 — Composition of the proposed $55 flat "sewer" charge vs the actual FY27 cost basis.

$55.00	$47.38	$36.51
proposed flat "sewer" charge	what sewer service actually costs	the garbage bill hidden inside

TAKEAWAY

Nobody disputes trash service must be paid for. But a cost hidden inside the wrong line can never be benchmarked, challenged, or competitively bid by the people paying it. Honest labels are free: a separate garbage line at cost changes no one's total — it only changes what residents are allowed to see and question.

6 | "LOW TAXES" — THE REDISTRIBUTION ILLUSION

For years the District has told us, correctly, that we pay one of the lowest tax rates in the area — $0.128 per $100. But the expenses never disappeared. **We are paying low taxes while the same community expenses are redistributed onto other lines: water, sewer, garbage, recycling** — and next, per the presented strategy's own recommendation, onto HOA dues, as constable patrol (~$308k/yr), streetlights (~$142k/yr) and reclaimed irrigation are handed to the homeowners' association.

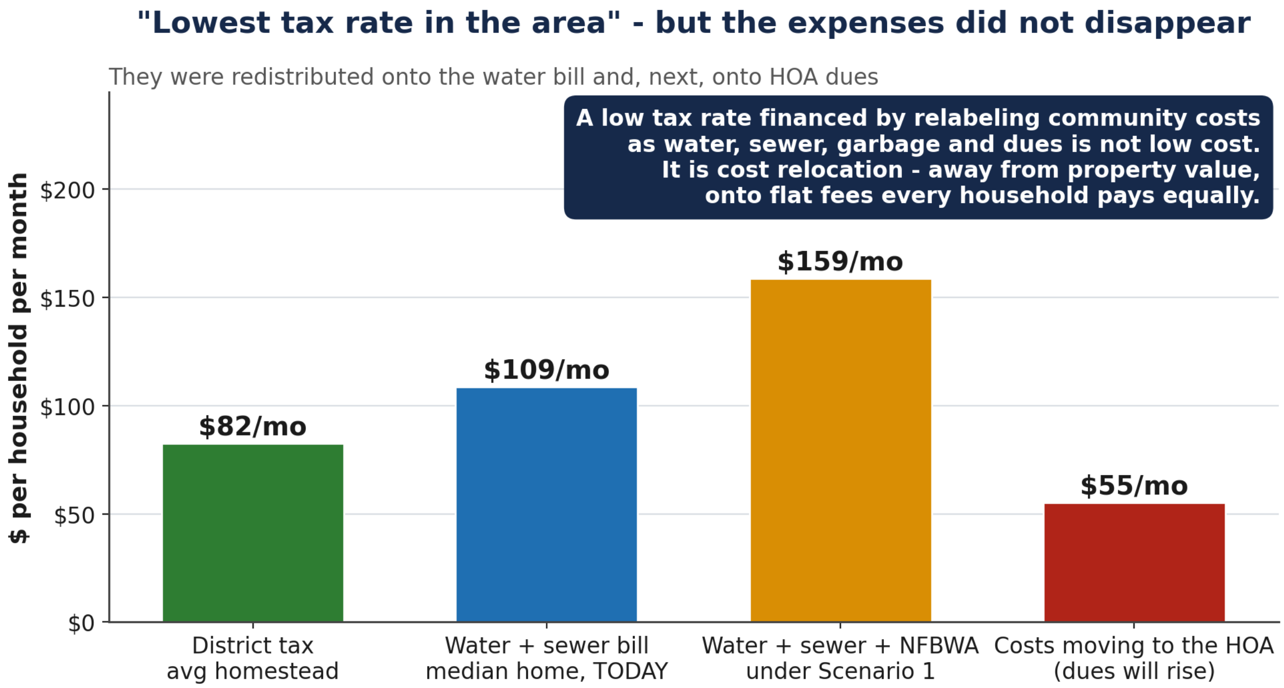

Chart 9 — Monthly cost per household by channel. HOA column: (constable $308,040 + streetlights $142,000) / 679 homes / 12.

TAKEAWAY	Compare channels, not labels. The real question is never "is the tax low?" — it is "what does a household pay across ALL channels, and does the split match what each home costs and can afford?"

7 | THE LEVER THE PRESENTATION NEVER TOUCHED

Why does the channel matter? Because **a tax scales with the value of what you own; a flat fee ignores it.** When a cost moves from the tax bill to a flat water fee, the largest homes in Grand Lakes get a discount and the smallest households pick up the difference. Every scenario presented freezes the tax rate at $0.128, without the alternative ever being shown:

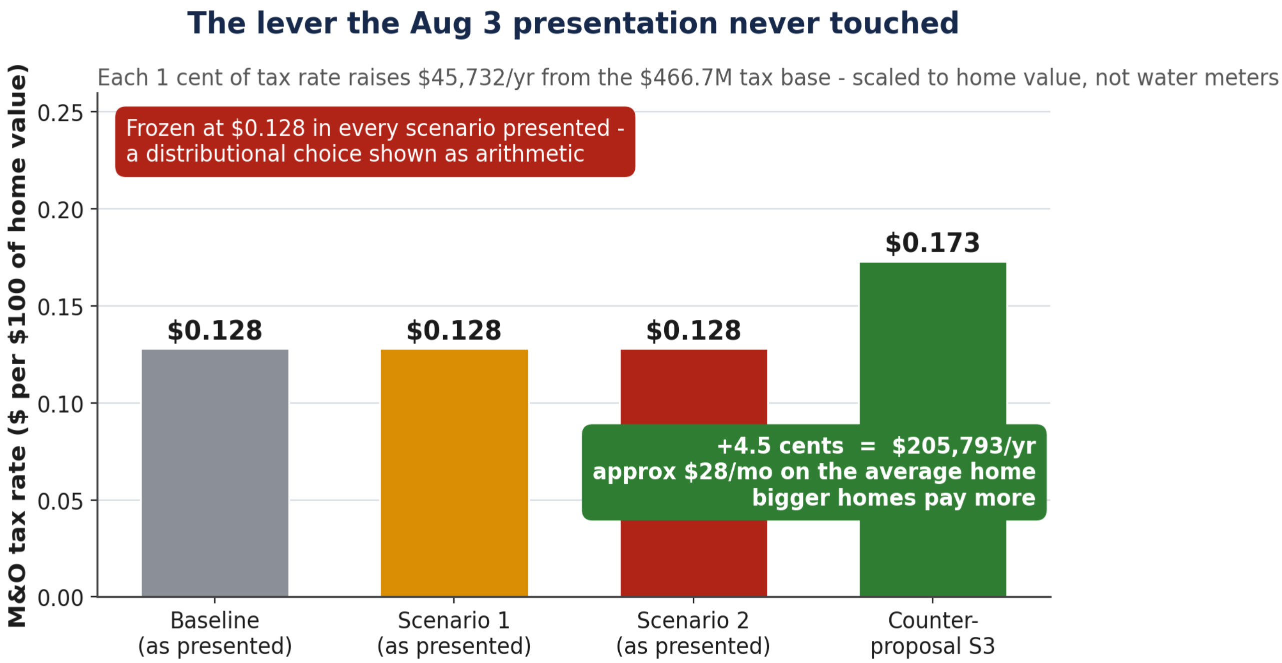

Chart 5 — Each penny of M&O tax rate = $45,732/yr from the $466.7M base (the study's own footnote).

$0.128	$45,732	+4.5 c	~$28/mo
tax rate, frozen in every scenario	raised per year by each 1 cent of rate	the S3 component: $205,793/yr	on the average home - value-scaled

TAKEAWAY

Nobody is demanding a tax increase. The demand is smaller: show the community both levers, side by side, before choosing for them.

8 | TWO NEIGHBORS ON ROSE GROVE LANE

Make it concrete. Two real houses face each other on Rose Grove Lane. One uses about 7,000 gallons a month — today it pays $79. The other runs heavy irrigation at about 24,000 gallons — today it pays $181. What does each plan tell these two neighbors?

Chart 6 — Total monthly bills (incl. NFBWA) for a 7,000-gallon and a 24,000-gallon household under each structure.

TAKEAWAY	Under the counter-proposal the conserving home is barely touched, and the heavy irrigator — me, my own sprinkler schedule, which I am fixing this week — pays close to the true cost of the water. That is what a price signal is for. Under Scenario 2 the conserver's bill triples no matter what they do: there is nothing you can turn off to escape a flat fee.

9 | THE COUNTER-PROPOSAL — SAME MONEY, HONEST SHAPE

Built from the measurement in Section 3, under three rules: raise exactly the revenue the presentation says is required; price marginal water at or above its $6.95 true cost; keep fixed charges near the actual fixed cost of a connection. “Scenario 3”: water $15 base including 3,000 gallons with tiers rising to $8 per 1,000 above 30,000; sewer $30 base plus a modest volumetric component; commercial 25% above Scenario 1 (the presentation itself notes S1 commercial remains below Houston/Fulshear parity); and a 4.5-cent tax adjustment. Calibrated on the District’s own meter distribution: **same total revenue within 0.2%.**

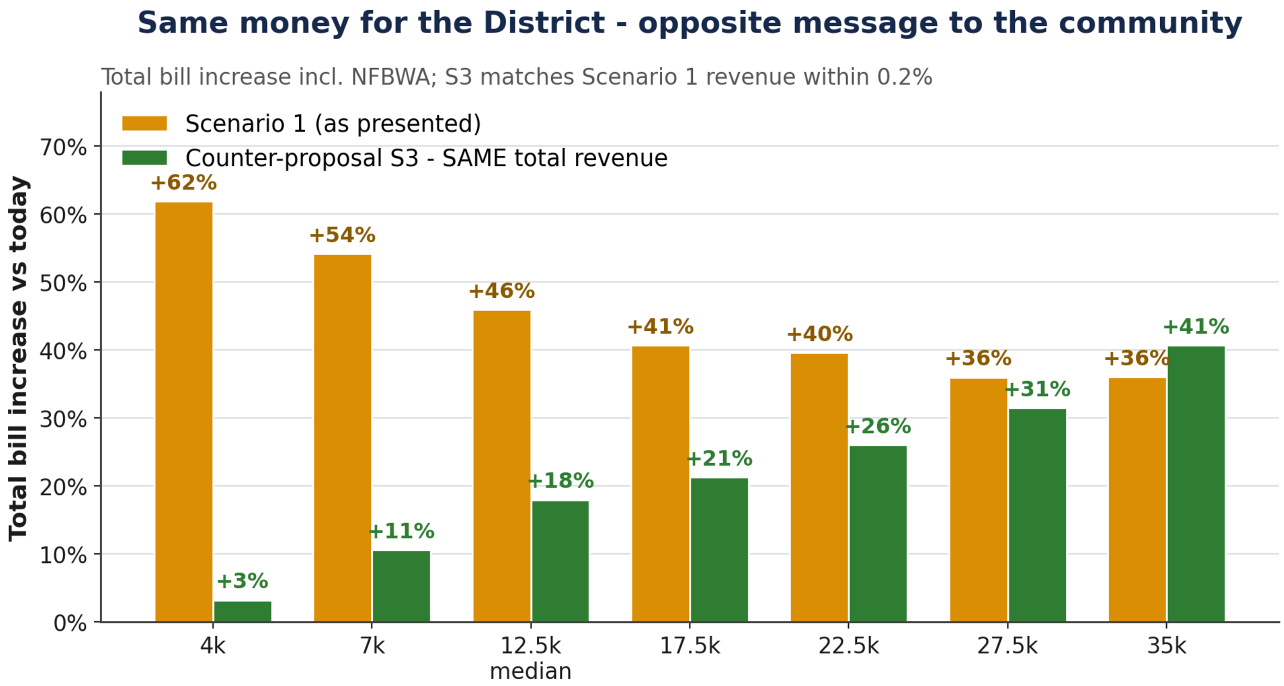

Chart 7 — Total bill increase (incl. NFBWA) by usage: Scenario 1 vs S3 at equal revenue. Editable model: MUD_Water_Analysis.xlsx.

TAKEAWAY	My trade-offs, disclosed: steep tiers make revenue lean on heavy users — if they conserve, collections dip — so S3 pairs them with the stable tax component and should carry an annual true-up. The tax adjustment requires confirming headroom under the voter-approved O&M cap. The presented flat-fee designs are genuinely more stable; S3 is more fair. That trade belongs in an open board debate, in those words — not settled silently inside a financial model’s default settings.

10 | WHAT I ASK THE BOARD TO DO

1

Measure before pricing: commission a real AWWA M1 cost-of-service study
A financial plan says how much money is needed; a COS study says who causes the cost. Two rate doublings in three years without one is managing blind. The sewer allocation question alone — per-connection vs per-flow — swings a small household's bill by $30/month, and only demand data settles it.

2

Price marginal water at no less than its measured true cost — $6.95 per 1,000 gallons including NFBWA
Fund the difference with a lower fixed floor. This one change aligns the rate order with every conservation message the District has ever mailed.

3

Adopt winter-averaged volumetric sewer billing
Bill sewer on December–February usage, when nothing goes to lawns — the industry-standard compromise, fair to low users, immune to summer irrigation.

4

Put garbage on its own labeled line — $36.51 per connection at cost
Honest labels cost nothing and end the practice of scaling a trash bill with water usage.

5

Present the tax lever as the choice it is
Publish side-by-side the household impact of the proposed fixed fees versus a 4–5 cent M&O adjustment on the $466.7M base. "Lowest tax rate in the area" is only an achievement if it is not financed by relabeling the same costs onto water, garbage and HOA dues. Let the community see both and be heard BEFORE adoption — not 18 days after the effective date, as in February 2024.

To the board member reading this: you inherited a hard problem — a failed bond election, a collapsed SPA revenue stream, and a proposal that answers "how do we hit the number?" when the question that matters is "who should carry it?" This community is not asking you to collect less. It is asking you to manage the way anything is managed well: measure the service, price it at cost, label it honestly, and put the real choices — fees versus taxes, stability versus fairness — in front of the people who pay. A rate order built that way would not need a $150,000 budget line for defending appeals, because nobody would file one.

11 | A STORY TO END ON

On the second of August I sat down with a box of scanned water bills — sixty of them, five years, every month since my family moved to Rose Grove Lane — determined to catch the District doing something wrong. My bills had doubled, then kept climbing. Somebody had to be cheating.

So I did what I was trained to do. I rebuilt every bill from the meter readings. I reverse-engineered the rate tables until they reproduced all sixty charges to the cent. I traced every balance forward, every penalty, every fee. And the math kept doing something I did not expect: **it kept exonerating the District.** The meters never skipped. The arithmetic never missed. Whatever was eating my wallet, it was not fraud.

Then the data pointed somewhere I did not want to look: my own front yard. My sprinkler controller had quietly stopped taking winters off, and each Monday, Wednesday and Friday it was pouring three thousand gallons into the lawn — three times what the grass needs, invisible, before dawn. The smart-meter data confirmed it in an afternoon. I am the 24,000-gallon neighbor in Chart 6. The villain of my own audit.

Here is why I tell you this. Under the counter-proposal in this brief, **my bill goes up more than almost anyone's in the district** — because until my controller is reprogrammed, I am exactly the heavy user honest rates are supposed to charge. I am asking you to adopt a structure that costs me more, because a fair price told me the truth about my own house, and a flat fee never would have. That is what a rate order is *for*. Price water at what it costs, and 679 households get the same signal I got: the bill becomes an instrument, not a punishment. **Measure first. Then manage.** It works on a district. It worked on me.

— Tomas Alvarez, August 2026

All figures from: EVO 10-Year Financial Operating Strategy (Aug 3, 2026 handouts); Proposed Budget FYE 8/2027, Exhibits A–B; Rate Order eff. 2/1/2024; NFBWA published fees; billing records, account 30402-0600812002 (60 bills, 2021–2026); PUC Docket 56589. Companion workbook with every formula: MUD_Water_Analysis.xlsx. Contact: talvarez@txwos.com.

APPENDIX A | THE REAL TOTAL BILL — COUNTER-PROPOSAL VS BOTH PRESENTED SCENARIOS

The meeting's "Total Bill by Usage" and "Total Bill by Customer" tables, recomputed under the counter-proposal (S3) beside both presented scenarios — with one correction: **the handout tables exclude the NFBWA fee ($4.90 per 1,000 gallons), which every customer pays on every bill.** The tables below add it back, so each column is the REAL check a household or business writes each month. S3 schedule: water $15.00 base incl. 3,000 gal, then $0.85 / $1.70 / $3.00 / $6.00 / $8.00 per 1,000 through the tiers; sewer $30.00 + $1.25/1,000 gal on 3,000–15,000 (max $45.00); commercial at 125% of Scenario 1; plus a $0.045/$100 M&O tax component not shown in these bills.

TOTAL BILL BY USAGE — RESIDENTIAL, ALL-IN (green column = counter-proposal)

Usage	# Meters	S3 Water	S3 Sewer	NFBWA	S3 REAL TOTAL	Scenario 1 REAL	Scenario 2 REAL
< 6,000	38	$15.85	$31.25	$19.60	$66.70	$104.60	$213.60
6k-10k	142	$19.25	$36.25	$39.20	$94.70	$128.70	$256.70
10k-15k	200	$25.20	$41.88	$61.25	$128.33	$159.75	$295.25
15k-20k	158	$36.95	$45.00	$85.75	$167.70	$195.75	$373.75
20k-25k	84	$59.45	$45.00	$110.25	$214.70	$231.75	$425.75
25k-30k	37	$89.45	$45.00	$134.75	$269.20	$278.75	$509.75
30k-40k	11	$144.45	$45.00	$171.50	$360.95	$353.00	$634.50
40k-50k	4	$224.45	$45.00	$220.50	$489.95	$445.50	$788.50
> 50k	5	$304.45	$45.00	$269.50	$618.95	$554.50	$985.50

Every column now includes NFBWA — the number a family actually pays. Note its size: at the median home NFBWA is nearly half the bill, which is exactly why conservation lives in marginal pricing, not flat fees.

TOTAL BILL BY CUSTOMER — COMMERCIAL, ALL-IN (125% of the Scenario 1 schedule)

Customer	Avg Usage	S3 Water	S3 Sewer	NFBWA	S3 REAL TOTAL	Scenario 1 REAL	Scenario 2 REAL
Walgreens	2,000	$75.00	$150.00	$9.80	$234.80	$189.80	$204.80
Firestone	13,300	$103.13	$172.50	$65.17	$340.80	$285.67	$317.67
Chase Bank	28,200	$161.25	$197.50	$138.18	$496.93	$496.18	$534.18
McDonalds	41,800	$222.50	$231.25	$204.82	$658.57	$567.82	$756.82
Jason's Deli	51,900	$272.50	$281.25	$254.31	$808.06	$697.31	$926.31
Strip Center	67,800	$352.50	$312.50	$332.22	$997.22	$864.22	$1,196.22
Home Depot	95,800	$492.50	$416.25	$469.42	$1,378.17	$1,196.42	$1,669.42
Elementary School	136,000	$692.50	$591.25	$666.40	$1,950.15	$1,693.40	$2,352.40
Car Wash	146,000	$742.50	$628.75	$715.40	$2,086.65	$1,812.40	$2,515.40

Commercial monthly revenue (rates only): Scenario 1 $4,877 / Scenario 2 $7,618 / counter-proposal $6,096 (~$73,148/yr) - above Scenario 1, deliberately below Scenario 2's level, which is reached only by also adding the $100 household flat fee. The commercial uplift plus the $0.045 tax component funds the residential relief above.

THE BOTTOM LINE: 538 of 679 homes pay less than under either presented scenario · identical $950,923 total revenue, within 0.2% · marginal water above 20k priced at $10.90+/kGal — conservation, finally, priced in.

APPENDIX B | THE TAX LEVER — THE CHOICE, SHOWN SIDE BY SIDE

Ask #5 is deliberately modest: **publish the side-by-side before adopting anything** — the household impact of the proposed fixed fees versus a 4–5 cent M&O adjustment on the $466.7M base. “Lowest tax rate in the area” is only an achievement if it is not financed by relabeling the same costs onto water, garbage and HOA dues. Let the community see both and be heard BEFORE adoption — not 18 days after the effective date, as in February 2024. Both levers, priced per household:

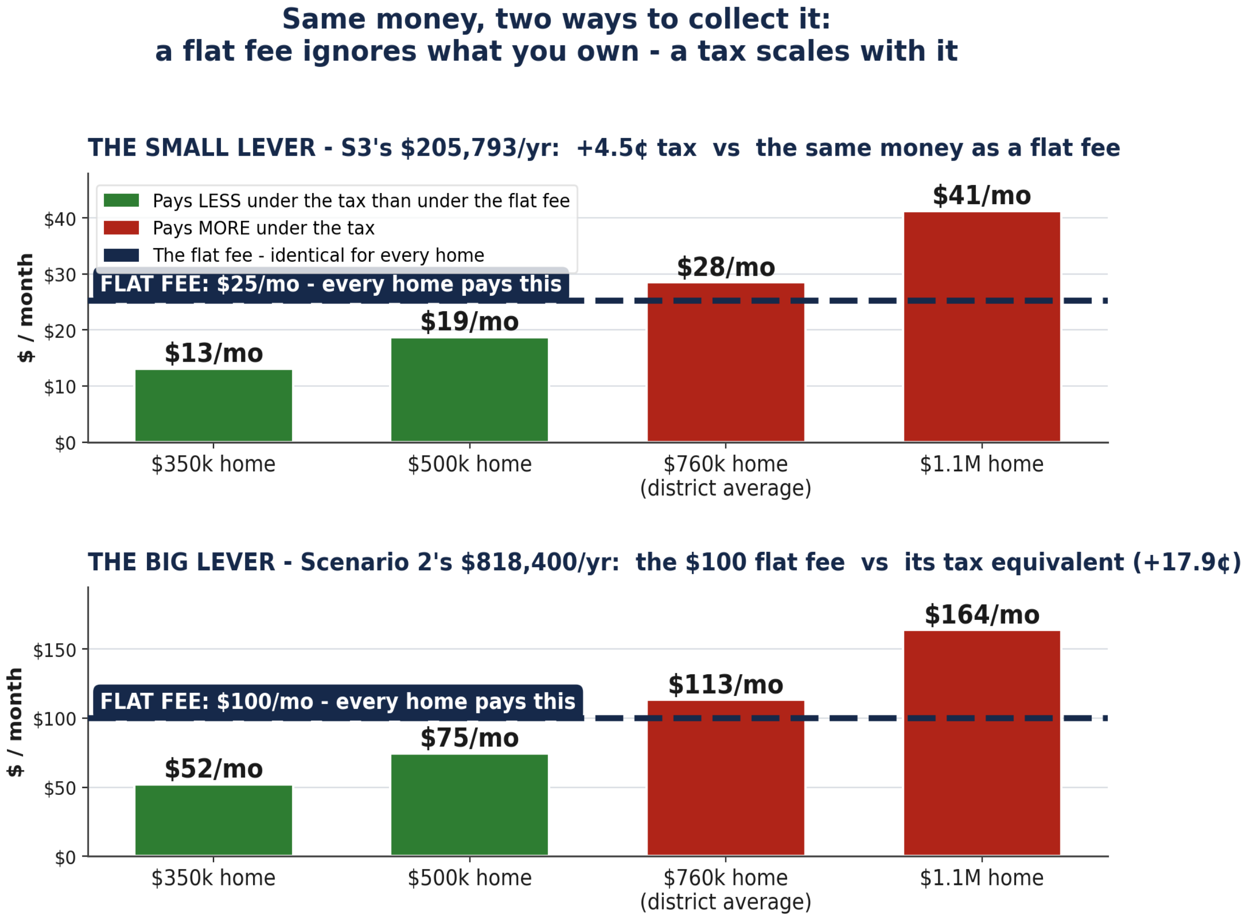

Chart 10 — Top: raising S3’s $205,793/yr tax component (+4.5¢) vs the identical sum as a flat fee ($25.26/connection/mo). Bottom: Scenario 2’s $100 Capital Base Fee vs its tax-rate equivalent (+17.9¢). Monthly tax = home value × rate / 100 / 12; average homestead $759k per Exhibit B.

TAKEAWAY	Every green bar is a smaller-than-average home paying LESS when the money is raised by value instead of by headcount. Under a flat fee, those homes subsidize the red ones - permanently, invisibly, and without ever being asked. The $100 fee is the extreme case: a 17.9-cent tax in disguise, priced so that only the largest homes come out ahead.

APPENDIX B (cont.) | THE SCENARIOS, BOTH CHANNELS AT ONCE

THE SCENARIOS, BOTH CHANNELS AT ONCE (median home at average value; HOA-shifted costs excluded from all columns)

Median home (12,500 gal), average value	TODAY	Scenario 1	Scenario 2	Counter-proposal S3
Water + sewer + NFBWA (REAL bill)	$108.75	$159.75	$295.25	$128.33
District M&O tax (avg homestead /mo)	$82.48	$82.48	$82.48	$110.93
Total household cost, both channels	**$191.23**	**$242.23**	**$377.73**	**$239.26**

Read the bottom row twice. For the average-value median home, S3's total ($239.26) is essentially identical to Scenario 1's ($242.23) — **the same money, collected differently**. Under S3 a smaller home pays less and a larger home pays more, on both channels; the flat fees erase both distinctions. And Scenario 2's $100 fee is, in substance, a 17.9¢ tax that only below-average homes would ever agree to — collected without calling it one.

TAKEAWAY	This is the exhibit the community was never shown. Nobody is demanding a tax increase — the demand is that BOTH levers be priced per household and debated in public before adoption. If the flat fee still wins that debate, so be it: at least the district will have chosen it, instead of defaulted into it.

$25.26	**17.9c**	**$759k**	**$45,732**
flat-fee equivalent of the +4.5c tax	the tax rate hiding inside the $100 fee	average homestead value (Exhibit B)	raised per year by each 1 cent of rate